

the current wave counts for stocks, gold and commodities, but that trend change was of one smaller degree than the one we currently face.

Is the potential for a huge rise in the dollar bullish for stocks, bonds and the economy, as conventional wisdom would hold? An article from the March 13, 1995 *Wall Street Journal* assures us that the converse is true, as "history shows that a wheezing dollar is sometimes followed by a sickly stock market." The truth is that there is little correlation, and if there is any at all, it is quite the opposite. During powerfully inflationary times such as the 1970s, the stock market is typically weak. Yet stocks have been rising most of the time since the 'teens, when the dollar began its relentless slide of 90%-95%, as measured against gold, goods and stable foreign currencies. Moreover, in 1929-1932, as the DJIA underwent its biggest collapse, the dollar soared. As usual, the conventional wisdom is based on a falsehood accepted as an unassailable truism. The falling dollar has not been bearish for stocks as so many contend; it has in fact been a secondary consequence of the relentlessly expanding liquidity bubble in the United States, which has propelled stocks higher. Credit expansion is a major reason why stocks have kept rising and the dollar has kept falling. When the bubble begins to deflate, the investment markets will go down and the dollar will start up. So when stocks begin to fall and commentators talk about how bullish the rising dollar is, do not believe it.

While holding "safe" dollars could prove immensely profitable during the deflation, attempting to dispose of them at the right time could prove tricky at the extreme in the deflationary crisis, so choose your investment vehicles carefully. Disposing of those dollars will be imperative, however, because the coming rise will almost certainly be the final rebound in the value of the dollar, as discussed after the next section.

Can Deflation Be Stopped or Avoided?

Despite a nearly unanimous opinion to the contrary, government cannot impose inflation to solve the deflation threat. Deflation in a credit economy results from a *collective state of mind*. It is not a mechanical phenomenon, as it is to a far greater degree in currency based economies. This is particularly true in today's economy in the U.S. While the Fed and the government might have had some power to control interest rates temporarily in the past, they have created